

The Children's Investment Fund – Q3 2009 Report

1. Fund Performance

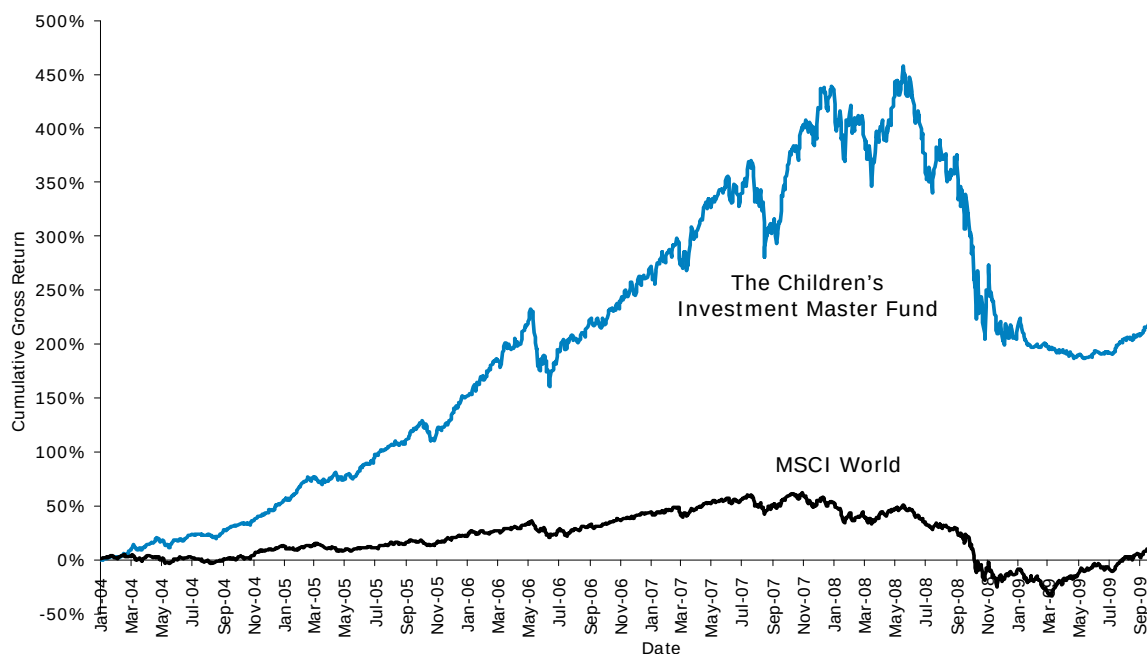
Returns for this period, net of both management and accrued incentive fees for the fund, are shown in the table below:

Period	Master Fund Assets (€m)	Class A (3yr) \$	Class A (3yr) €	Class C (5yr) \$	Class C (5yr) €	MSCI World (\$)
Sep 2009	4,797	2.30%	2.25%	2.30%	2.25%	3.81%
Aug 2009	4,814	1.53%	1.51%	1.53%	1.51%	3.91%
Jul 2009	5,571	4.10%	4.09%	4.10%	4.09%	8.37%
Q3 2009		8.12 %	8.03 %	8.12 %	8.03 %	16.90 %
Q2 2009		-1.44 %	-1.43 %	-1.44 %	-1.43 %	19.73 %
Q1 2009		-5.35 %	-5.88 %	-5.35 %	-5.88 %	-12.50 %
2009 YTD		0.86 %	0.22 %	0.86 %	0.22 %	22.47 %
Annualised		+15.86%	+15.08%	n/a	n/a	1.47%
Inception		+133.11%	+124.22%	n/a	n/a	8.75%

Notes: January 1, 2004 inception except Class C (March 1, 2006). Fund performance is net of fees and expenses, includes dividends reinvested and is that of the Cayman feeder fund. Annualised figures refer to those since January 1, 2004 inception.

Source: Citco Fund Services (Ireland) Limited, Bloomberg LP, MSCI Barra, The Children's Investment Fund Management (UK) LLP

The Children's Investment Master Fund vs. MSCI World (\$)
Since Inception to September End 2009



Notes: Performance for The Children's Investment Master Fund is gross of management and incentive fees and includes dividends reinvested.

Source: Citco Fund Services (Ireland) Limited, Bloomberg LP, MSCI Barra, The Children's Investment Fund Management (UK) LLP

The fund returns for the quarter were approximately 8%, taking the 2009 YTD return to around 1% for the 3 year dollar class.

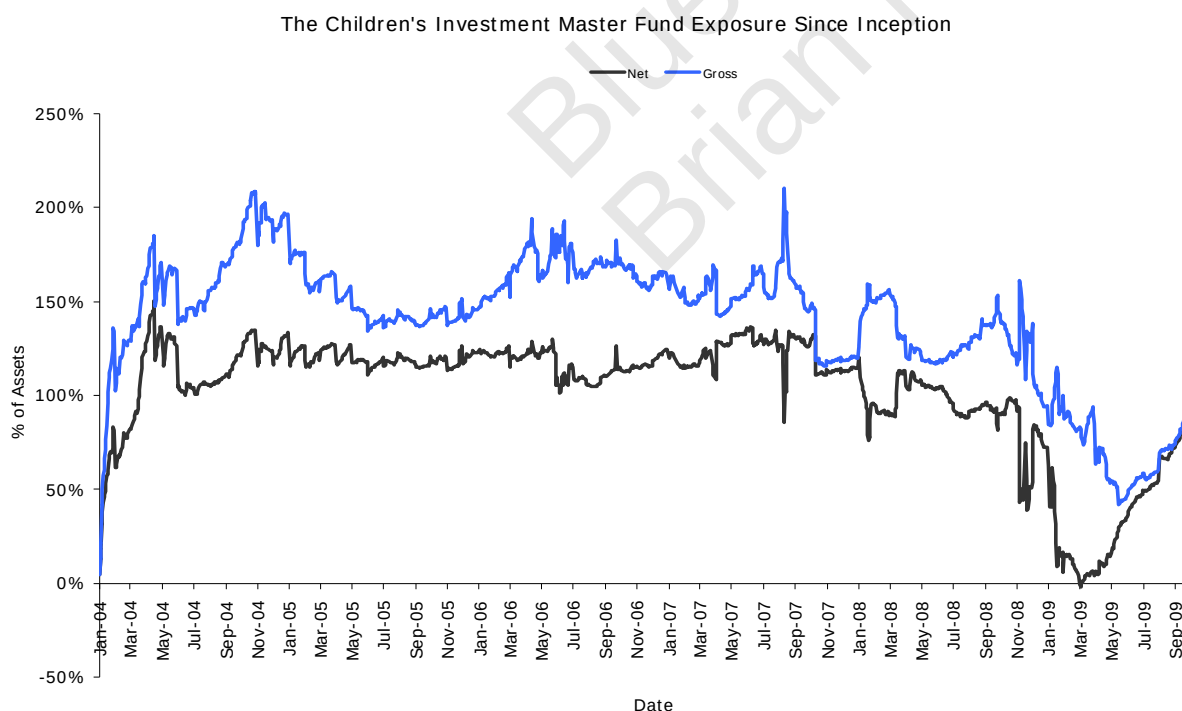
2. Key Fund Data

a. Exposure Summary

During the quarter our exposures were increased. As of today the fund is approximately 93% long (76% in equities and 17% in debt) and has almost no short exposure.

% of Master Fund Net Assets				
Period	Longs	Shorts	Gross	Net
End Sep 2009	89%	-1%	90%	88%
End Aug 2009	73%	-1%	74%	72%
End Jul 2009	55%	-1%	56%	54%

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

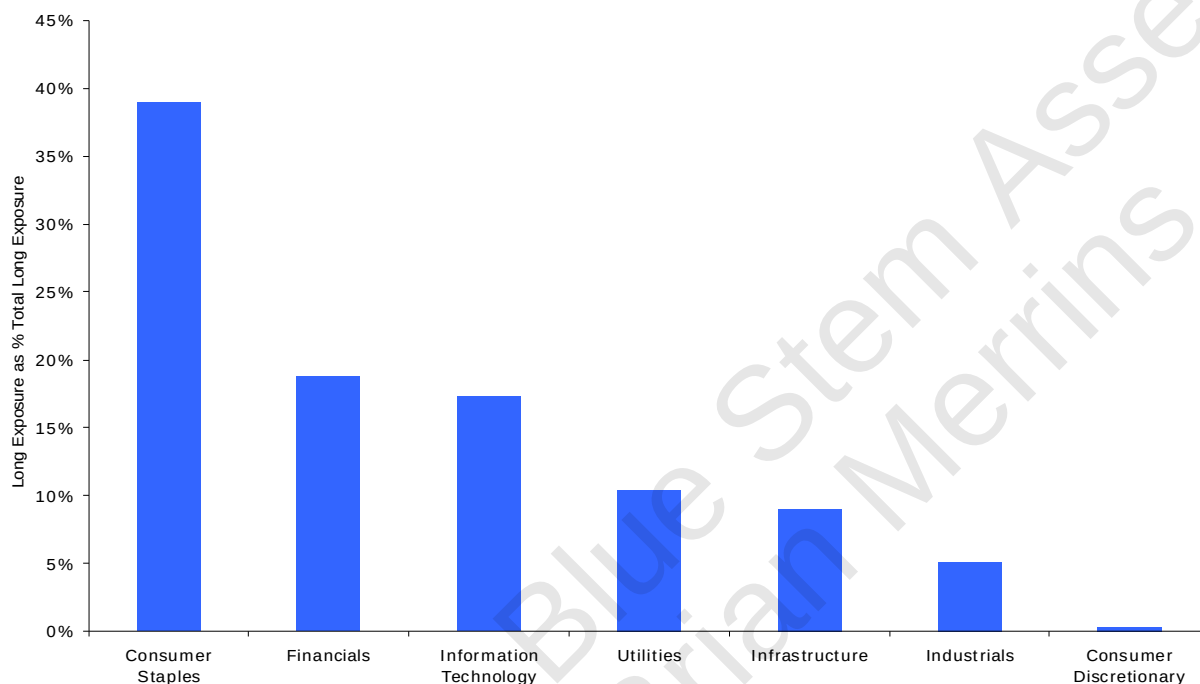


Note: Gross and net figures include equity and debt positions and exclude exposure to US Treasury Bills.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

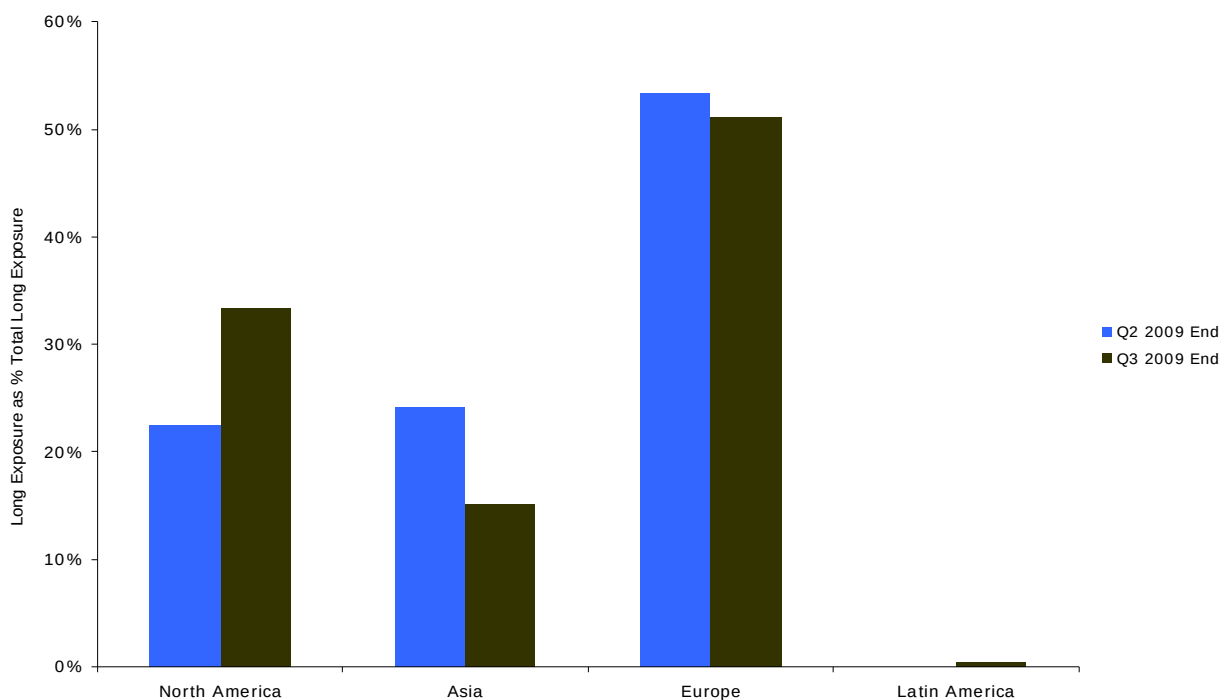
Top 10 Positions as at 30 September 2009	% of Master Fund Net Assets
Corporate debt positions	15.6%
Visa	8.8%
BAT	8.3%
Coca-Cola	8.0%
Nestlé	6.7%
Link REIT	6.7%
Lockheed Martin	4.6%
E.ON	4.5%
SAP	4.2%
Unilever	3.6%

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

b. Q3 2009 Portfolio Sector Long Exposure

Note: Sector exposure breakdown refers to the long book, including equity and debt positions.

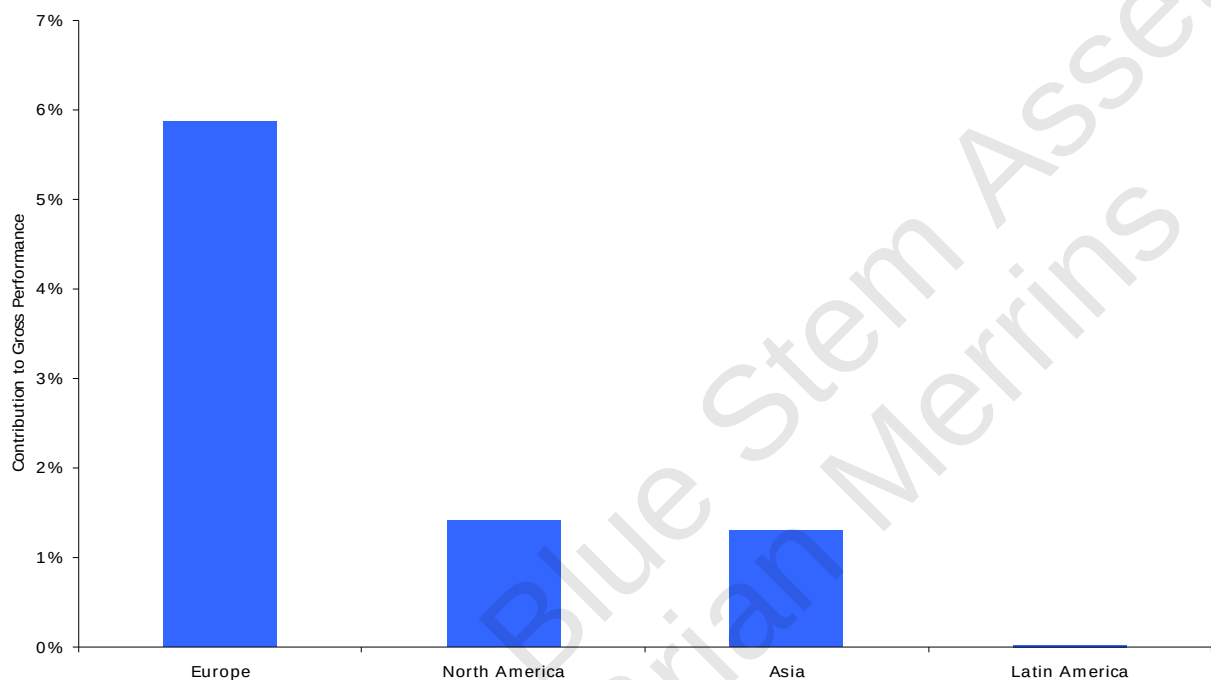
Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

c. Q2 2009 vs. Q3 2009 Portfolio Geographical Long Exposure

Notes: Figures are re-based to a total of 100 and refer to the long book only (including equity and debt positions). Data ex govt bonds.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

d. Q3 2009 Performance Contribution by Geography



Note: Performance contribution figures refer to the entire fund portfolio (including equity and debt positions).
Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

The third quarter of 2009 saw all regions contributing positively to fund performance.

e. Q3 2009 Top 5 Performance Contributors

Position	% Contribution to Q3 2009 Gross Performance
Corporate debt positions	2.32%
Nestlé	0.86%
Visa	0.78%
Infigen	0.65%
Coca-Cola	0.64%

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

3. Portfolio Review for Q3 2009

Some of our core positions are outlined below in summary form.

Visa

Visa is up 11% in the quarter. It is our largest holding, currently representing 10% of the fund's size.

Operating performance in the quarter continued to be strong, in line with expectations against a very tough consumer backdrop, and the most challenging quarterly comparison period of the year. Transaction growth was steady at above 8%, payment volume growth at 2% and operating earnings grew 18%. We expect all metrics to reaccelerate heading into the fourth fiscal quarter and the coming financial year, on the back of new pricing initiatives and a slightly more benign consumer spending environment.

News' flow continues on potential changes to the regulatory environment, which can make the Visa share-price somewhat volatile. We continue to believe that the Visa economic model will prove resilient, even to some of the most prejudicial regulatory outcomes for interchange.

Visa is a very small share of system economics, it does not earn interchange, its value to the system is extremely difficult to replicate, and the precedents from other markets is that the consumer typically directly picks up the cost of a regulatory intervention and the merchants pick up extra margin.

On the 8th October the US House of Representatives Financial Services Committee held a hearing on interchange fees. Representative Luis Gutierrez (D-Illinois) was very critical of interchange fees, but other Democrats came to the defense of the industry, including Brad Sherman (D-California) and Mel Watt (D-North Carolina), who sit on both Financial Services and Judiciary committees. Both criticized merchants, who are likely to keep any decrease in interchange fees without passing the benefit on to consumers. It would result in consumers having to pay more for a card, due to higher fees from banks. In addition, House Financial Services Chairman Barney Frank left after 20 minutes after giving his opening comment. Reporters pressed him in the hallway on the issue but Frank gave no indication that he intended to move legislation.

The next step on US political scrutiny on interchange is possible in the Senate. Senate Banking Chairman Chris Dodd (D-Connecticut) has discussed bringing up interchange legislation. Our research suggests he is not ready to bring a bill but a hearing is certainly feasible.

Australia is the most commonly cited precedent of regulatory intervention. There, the consumer banking market is more consolidated than in the US, yet a considerably more dramatic intervention in interchange than is being currently considered in the US resulted in no change to Visa or MasterCard's economic model.

On our current estimates, and excluding the group's cash position, Visa trades on 15x 2010 calendar year earnings, a substantial discount to what we perceive to be a fair trading multiple, given the quality and structural growth outlook for the business.

BAT

BAT increased by over 17% in GBP during the third quarter.

Following our initiation of a position in British American Tobacco (BAT) during Q2 2009, we now have a 8.3% position of NAV in the world's second largest cigarette company, with a leadership position in more than 50 markets worldwide.

With 77% of volumes and 60% of profits coming from emerging markets, BAT is best positioned in the global tobacco industry to profit from the premiumisation of emerging market consumers. We therefore believe its long-term growth model underwriting 6% EBIT growth remains intact and at 11.5x our forward earnings estimate, close to 9% levered free cash flow yield and less than 2x Net Debt/EBITDA, we would expect to generate a low risk, high-teens long-term shareholder return.

The company held an investor day in Brazil in September, which we attended. In addition, we have met the management in London in September. Key points from these meetings were as follows.

Although management expects some near-term volume weakness in the industry (1-2%) due to rising unemployment around the world, it will continue to deliver on its long-term growth model by taking real pricing.

The company is targeting 4% revenue growth, driven by pricing. It is worth remembering that, due to the fact that excise taxes are a significant component of the end consumer price, modest increases in retail price produce much larger increases in the manufacturers' take.

We would expect this revenue growth to lead to a double digit operating profit growth, especially combined with extracting the second half of an £800m cost cutting programme. However, management target a 6% annual operating profit growth, which we think is too conservative. Operating margins are targeted to increase from 30% to 34% over the next 3 years.

The key point is that the industry has strong pricing power due to the consolidation and shared strategy of the industry and also low pricing relative to purchasing power in emerging markets. We met with the management teams of PMI and Japan Tobacco this quarter; they are all extremely aggressive in structural pricing targets for their businesses. Excise tax increases thus far in 2009 have been relatively benign, despite outliers in the Ukraine and Brazil. Minimum taxes often help to minimise the impact of down trading, which is a key risk in all consumer products companies today.

Other points emphasised is the significant geographic diversification of their portfolio in 50 countries and their consistent increase in market share. Their global drive brands, representing only 33% of their mix, were growing at double digit rates.

The management emphasised in our meeting that their 65% payout ratio representing a nearly 6% forward dividend yield is not a floor and could well be increased. With earnings long term being all free cash flow, this underpins the total shareholder return.

E.ON

E.ON is a 4.5% position for the fund.

E.ON is one of Europe's largest power generation utilities with significant regulated distribution assets and a strong gas pipe-line and supply business. The value case for E.ON remains strong, despite current tough trading conditions and the rebound in the share price. We believe the company can sustain €3.0 of earnings per share from 2010, putting it on 9x earnings, whereas a fair multiple, in our opinion, would be closer to 11x. Moreover, our earnings number is based on a long-term USD oil price in the mid 50s which, given that every \$10 increase in the oil price adds 10-15% to fair value, provides us with additional optionality. For example, oil at \$100/bbl and other commodities, such as coal and carbon, in line with this and fully reflected in power prices, could imply E.ON fair value closer to €50/share and 80% upside.

The recent centre-right victory in the German elections is positive for German utilities. A pro-growth economic agenda should help reverse the energy demand destruction seen in 2009. In addition, Chancellor Merkel is supportive of lifetime extensions (15 years) to the German nuclear power fleet. While we expect any benefits to be shared, nuclear life extensions could add 10% to our E.ON fair value.

We attended the recent Capital Markets day for E.ON in Germany. Key points made by management, including the new CEO, are that they expect their €15bn investment program to add €1.2bn of EBIT by 2015, based on the current spreads implied by power markets. E.ON's view is that the power market will remain soggy, due to recent demand reductions, but that they believed that by 2015 they would be tight again. Overall there is a story of self help of cost cutting, disposals and organic growth remain intact.

By 2012 the company will be on at least a 12% free cash flow yield under conservative oil price assumptions. The dividend yield remains in excess of 5%.

Infigen Energy

Infigen Energy is 2% of fund's NAV.

Infigen Energy (IFN), formerly Babcock & Brown Wind Partners, is the largest wind energy business in Australia and the 6th largest in the US, by operating assets. Both these markets have strengthening renewable energy commitments.

IFN's revenues are 80% long-term contracted, EBITDA margins are 70%+ and assets are financed under a global debt facility expiring in 2022. We initiated the position in 2008 due to the significant undervaluation and the distress caused by the demise of Babcock & Brown. We currently own 15% of the company. A successful transition from B&B, improved corporate governance, alignment of management incentives with shareholders and an ongoing share buyback programme have all contributed to the 70% rebound in the IFN share price in 2009.

The M&A market for contracted operating wind assets remains strong, with recent achieved prices in-line with those seen in early 2008. This and the desire to focus on the fast-growing Australian business, led to IFN's recent decision to sell its residual European assets and the US portfolio. For example, in the US, B&B has just sold its contracted wind assets to Florida Power & Light for \$352m, an implied capacity multiple of \$1903/kW for the 185MW. In Europe, recent sales suggest 15-20% premia to new build cost of €1.3/kW. In Australia, AGL has just sold a 132MW uncompleted windfarm in South Australia for an implied A\$3015/kW to the Energy Infrastructure Investments consortia (Marubeni, APA Group, Osaka Gas). IFN has excellent growth potential in Australia. We estimate a potential doubling of operating assets and EBITDA over the next 3 yrs through the development of its 1,000MW pipeline. The recently strengthened federal renewable energy targets (RET) and the likelihood of agreement on a carbon abatement regime later this year/early next year provide a strong industrial backdrop for this growth.

Successful execution of IFN's asset sales (targeted for Q4 2009/Q1 2010) in line with these sale multiples and a peer-average rating for IFN's Australian business, would imply an equity value for IFN of A\$2.3-2.5/share - further upside of circa 60%.

Lockheed Martin

Lockheed Martin is approximately a 4.5% position for the fund.

Lockheed Martin is the largest and best defence company in the world and the majority of the business is monopolistic. We think it can be a good investment because it is cheap (12% free cash flow yield ex-pension cash flows, which we believe will be remunerated), will grow free cash flow at 5% p.a. for the next 5 years due to the F-35 program, management are shareholder friendly, margins and competitive position are structurally protected by their strong proprietary technology, it is the choice of the Pentagon for sole supplier status in many programs which embed monopolistic positions and it has a broad range of high value added complex programs.

The business is split into four divisions. The largest is Aeronautics (31% profit). They make both of the US fifth generation fighters (the F-35 Lightning and the F-22 Raptor) and provide most of the Western world's military heavy lift capacity with the C-130 Hercules and C-5 Super Galaxy.

Electronics (30% profit) encompasses a range of missile, radar, electronic warfare and naval systems. Missile defence is the biggest single area for this division.

They manufacture the Aegis system for the navy and the land-based interceptors THAAD and PAC-3 (in collaboration with Raytheon). Lockheed was not involved in the recently cancelled missile shield and in fact this decision and re-prioritisation has helped their business.

Information Systems and Global Services (21% profit) provides software and system integration to the military, intelligence and federal government. The business is highly diversified with the largest contract accounting for 3% of the division's revenues. Contracts include managing air traffic control centres, developing biometric security for the government and command and control systems.

Space is the smallest division and accounts for 18% of profits. The largest programs are classified which obviously presents hurdles to detailed analysis, but from the checks that we have made we think funding for these programs is robust.

The defence sector is out of favour (trading at a 0.6 relative EV/EBIT multiple versus a historic range of 0.6x-1.0x) as investors are concerned about tougher defence budgets under President Obama. US defence spending is as high as it was at the height of the Cold War in constant dollars but not relative to GDP (4% GDP currently compared to 6% in the Cold War).

We think that spending will fall as troops are withdrawn from Iraq and defence supplementals are cut, but we forecast that procurement (the part Lockheed's sales come from) in the base budget will remain constant in real terms despite the deficit as the US has to replace old equipment. In 1987 the average age of USAF aircraft was 15 years, it is now 26 years and we are starting to see operational losses from metal fatigue. Additionally, the US has fought a long war in harsh conditions in the Gulf and Afghanistan where most of their equipment has been operating at 2-5x peacetime intensity, which has considerably shortened service lives.

Investors are also cautious about the large, \$12bn (40% of the market cap), stated pension deficit at Lockheed. The accounting behind this is esoteric and complicated, but our work supports management's assertion that this deficit will be remunerated by the federal government, although there will be distortions in both the earnings and cash flow.

Lockheed should continue to grow for at least the next decade as the F-35, their largest program, ramps up. EBIT from this program should grow from \$250m in '09 to \$1.7bn in '16- meaningful given total EBIT '09 of \$4.4bn. The plane is high priority to replace some 9,000 ageing and high maintenance fighters and ground attack aircraft (our checks here have been consistent that this program will continue to be well supported even if budgets come under great pressure). Outside of Aeronautics, their outlook is program specific. We think that the missile defence business (THAAD, Aegis, PAC-3, SIBIRS) will continue to grow as missile capabilities of North Korea and Iran advance, the Orion NASA program has firm funding while parts of the systems and services business will see cuts. Overall, we forecast the business ex-aeronautics to be flat.

The company has strong visibility with a firm order-book of \$80bn (2x annual sales) and should grow earnings at 5% CAGR '09-'16. Valuation is attractive, trading on 9.3x '09 pension adjusted earnings (6.7x EV/EBIT '09) and is very cash generative (12% '09 underlying FCF yield rising to close to 15% in '16) with a strong record of returning cash to shareholders. The company pays a 3% dividend yield and excluding limited acquisitions all free cash flow is used for buybacks which have been \$2bn pa for the last 3 years on a \$29bn market cap. A 14-15% 5 year IRR is feasible.

SAP

SAP is currently a 5% position for the fund.

A private two hour meeting with SAP's CEO and CFO last month at SAP headquarters in Germany has helped to reaffirm our confidence in the quality of SAP's business and the investment thesis.

We believe SAP will keep earnings flat this year before delivering 15-20% p.a. earnings growth through 2012. Our estimates build in strong cost management and partial implementation of previously announced price increases but assume a relatively subdued cyclical recovery.

Our conviction that SAP will meet or beat our numbers has increased post our meeting for the following reasons.

- (i) Management remains committed to increasing margins from 25% to 35% over the next few years. As a benchmark, its competitor Oracle has 48% operating margins;
- (ii) Maintenance price increases (from 17% of sales to 22% phased in over 6 years) are being successfully and broadly implemented;
- (iii) Management believes it has significant growth opportunities both with existing and new customers. Specifically they believe they can double the volume of business with existing customers over the long term via innovation and broadening the user base within their clients. Regarding new customers, management highlighted emerging markets, which currently represent less than 10% of sales, and the \$15bn mid-market segment which will be targeted by the company's new software-as-a-service offering;
- (iv) Customer retention was confirmed as close to 99% with customers only leaving in the event of bankruptcy or mergers;
- (v) The acquisition of Business Objects has been well received by customers and is operating well.

Regarding the quality of SAP as a business, the key take-away was the level of ongoing innovation and ever-increasing sophistication of SAP's product. We believe this innovation increases SAP's lock over its maintenance business as it creates a barrier to third-party maintenance providers. It is a strongly embedded business.

The founders currently own 30% of the company and we believe keep a strong focus on shareholder value creation. SAP currently trades on 15x 2010 earnings versus an historic (and DCF justified) multiple closer to 20x.

Oracle

Oracle is a global leader in the database and application software spaces. Oracle dominates the \$30bn database market with 50% share, followed by IBM at 21% and Microsoft at 17%. In the \$30bn Enterprise Applications market, Oracle is second to SAP with 20% share. Oracle derives considerable growth from the faster growth middleware segment (\$15bn), where Oracle has about 25% of the market with IBM the leader at 32%.

Following on our diligence from SAP, we concluded that Oracle was a similar business with good revenue growth but lower margin expansion potential but on a lower entry valuation. We believe that Oracle's earnings are very high quality as over 80% of operating income is derived from maintenance of its installed base - 65% of this related to databases and 35% related to application software. 85% of revenue growth comes from cross-selling to the existing customer base (250k strong) where Oracle feels they have a substantial opportunity at gaining wallet share.

The delay in closing the Sun acquisition has hurt expectations for 2010. We believe that Oracle will generate \$1.50 in cash earnings in 2010 ex-Sun, or \$1.65 including Sun, at current values of 13x (ex-Sun) and 12x including Sun. We assume no cyclical recovery in IT spending on databases, which fell 20% in the last quarter.

Oracle is very efficiently run and is considered the industry benchmark on margins, so there is limited operating leverage from current levels. As such, we forecast high single digit earnings growth beyond 2009.

We believe there could be further upside from i) any rebound in global IT spend and ii) Oracle's strong balance sheet where the net cash position leaves them well positioned to take advantage of inorganic growth opportunities or buy back shares.

Japan Tobacco

This is close to a 3% position for the fund.

Tobacco sales account for 95% of Japan Tobacco (JT)'s profits as their Pharmaceutical and Foods business are almost insignificant from an earnings point of view. Last year International Tobacco, JTI, accounted for half of their total profits but depreciation of emerging market currencies reduced the contribution from JTI's profits to 40% of consolidated profits.

Volumes for JTI were slightly down in the first quarter of this fiscal year which was offset by strong price increases, up 9% in US\$ year on year. Going forward we believe that the growth prospects for JTI are strong as emerging markets - where volumes are expected to grow 5% p.a. and net prices are growing close to double digits on the back of continued tax hikes - account for 1/3 of profits. JTI also managed to increase its volumes in some developed markets such as Italy and France on the back of market share gains. We expect that JTI will contribute close to 60% of Japan Tobacco's consolidated EBITDA in 2 years time.

JT's stock price suffered dramatically last year as fears over extreme tax hikes on cigarettes in Japan destroyed investors' sentiment. However, we do believe that gradual tax hikes are the most likely scenario. Hence there is scope for substantial net cigarette price increases in Japan because retail cigarette prices are one of the lowest in the developed world at roughly \$3 per pack. EBITDA for JT's domestic tobacco is expected to be JPY280bn this year.

The following example shows how tax and manufacturer price rises can be beneficial to JT rather than negative as the market assumes. Assuming cigarette pack retail prices are hiked 3x to 900 yen per pack and assume taxes go to 65% of retail prices (from 58% today) and penetration of smokers to decline by a 40%, then domestic EBITDA will more than double to more than JPY600bn, which would mean that the levered free cash flow yield goes to 19% for JT. Even if we assume 30% volume elasticity to massive price hikes, penetration of smokers would drop by 60% to 10% of total Japanese population, which is probably too conservative. Nevertheless, the domestic EBITDA would still increase to JPY457 from JPY279bn (or 16% levered free cash flow yield) for JT.

Japan Tobacco is generating an 11% free cash flow yield on our run rate estimates, which is much higher than peers which have levered free cash flow yield closer to 7-8% this year. This is especially attractive as long term interest rates in Japan are 2% lower than in most other developed economies. The stock is also cheap versus other consumer stocks in Japan, which are trading at an average P/E of 20.

Concerns about poor corporate governance are overly discounted in our opinion. JT will gradually raise its dividend payout, which is expected to go to 27% this year (from 23% last year). Profits from their domestic tobacco business have significant upside as retail cigarette prices are the lowest in world on PPP adjusted basis. The government holds a majority stake in JT which is likely to be reduced through a share buy back in the medium term which would be very accretive from a shareholder point of view as interest rates are very low in Japan. We estimate that if JT would buy back the entire stake from the government it would increase the levered free cash flow yield from 11% to 21%. Finally its announced move to IFRS accounting will help eliminate the goodwill depreciation which masks the high free cash flow and earnings of the company.

Molson Coors

Molson Coors is a new position we added in the quarter. It is 3% of fund's NAV.

The company is one of the world's larger brewers with major operations in Canada (c.40% of profits) and the US (c.50% of profits), with a smaller business in the UK (c.10% of profits). It is also one of the cheapest major brewers trading on less than 13x earnings against a peer group closer to 15x forward earnings.

The key attraction of this investment is that we feel we are in the first year of a multi-year profit upgrade and re-rating cycle, led by cost cutting and the potential for real pricing principally in the US. The US has been a difficult market for many years, with sub-inflation pricing and two sub-scale players (Miller and Coors), trying to compete with themselves and a market share sensitive incumbent (Budweiser). This has led to beer in the US being among the cheapest at retail of the developed nations. Also, particularly within the Miller and Coors systems, a disproportionate share of profits is retained by the distribution partners, and Miller and Coors have had substantial scale disadvantages versus Budweiser.

Following Inbev's acquisition of Budweiser and the merger of Miller and Coors (MillerCoors is 42% owned by Molson Coors) both in 2008, we feel the industry has for the first time created a viable duopoly in the US market, with the two companies holding a combined 80% market share. This, in addition to the relative value of beer in the US versus other developed markets indicates at least a favourable pricing outlook over the coming years with both companies seeking real price increases in our view.

Moreover, the new MillerCoors business is considerably less efficient than its larger rival reflecting the duplicate cost bases and scale disadvantages of its predecessors. In 2008, the pro-forma margin of MillerCoors was 10% vs 24% at Inbev North America. In 2009, we expect MillerCoors to achieve 15% and for ABInbev to achieve 34%. Over the next 2 to 3 years ABInbev targets a margin in the mid to high 30%'s, whereas MillerCoors initial target is for a 17% margin. We believe this gap will close over time, and while there should be a margin differential between the two players, there is no reason for the number two operator with 30% market share to have less than half the margin of the number one with 50% market share.

In terms of valuation, we expect the free cash flow yield to rise to 9-10% over the next 2-3 years and be approximately 8% in 2010.

Coca-Cola

Coca-Cola is up 12% in the past quarter, where its contribution to gross performance was 0.64% over the period. We have increased it to 8% of the fund's size, with our first position taken at \$42 per share.

Coca-Cola remains one of the strongest and highest return exposures to emerging market consumption growth. On our estimates the company trades on just over 15x 2010 earnings, which we think is low given the 50% post tax returns on capital, dominant distribution assets, and historic and forecast capex-lite operating profit growth of 9-10%. Historically the group has traded at 18-20x prospective earnings and we believe that with the rising share of emerging market profits, the growth outlook is strong.

Emerging markets represent 55% of profits, and ex US the system distribution assets are often 3-4x the size of the nearest competitor's, which puts the group in an unrivalled position to participate in and drive the developing world trend to packaged beverages in a high return way. Volumes for example in their Indian business are up 30% YTD.

In the near term we expect the change in the US pricing model early this year and cost rationalisation to drive margin upside in the US. In addition the restructuring and spin of the group's bottling investments in the medium term should further drive up profitability and drive capital intensity down.

Nestlé

Nestlé is up 8% in CHF and 13% in USD in Q3 2009. It is 7% of fund's NAV.

The group trades on 13.5x 2010 earnings, which makes it among the cheapest of the peer group, despite being one of the highest quality names and completely unlevered. It appears probable that the group will be able to exercise its put option in Alcon in the coming 18 months, given price and operating performance at the eye care subsidiary. This will lead to a cash inflow of CHF29bn, which we expect to be divided between share buy-backs and bolt-on acquisitions. From then, the company will have net cash of close to 10% of its market cap.

We believe volume growth will reaccelerate materially in the second half of the year driven by continued emerging market consumption growth, a highly resilient brand and category exposure in the developed world, and a more favourable base effect. We feel that the value of high-return, high quality earnings growth is underappreciated by the market, and expect that even without a re-rating, this business can deliver solid and consistent double digit returns for the foreseeable future.

Red Electrica

We attended the company's investor day in Spain in October. Key points were the reiteration of their 5 year target EPS and dividend growth of 15% CAGR. Despite Spain's economic difficulties the capex programme is not being reduced. The company expects to acquire the Balearic Island grid assets but this will not involve equity issuance and will be value accretive in our opinion. No change in the regulatory environment is expected. At 13x forward earnings, a double digit free cash flow yield ex growth capex, stable regulatory regime, and 4% dividend yield it remains a core long term holding for us.

Corporate Bonds

Currently the fund has 16% invested in bonds, purchased at prices offering double digit returns. Our largest holdings are bonds of BAA, Lloyds Bank and Barclays Bank. The Barclays Bank bond was bought at 101% of par and pays a 14% fixed coupon, is 10 year non-callable and steps up to Libor +14% in 2019. The Lloyds Bank bond pays a 13% coupon stepping up to Libor +14% also and is also 10 year non callable. Both bonds are cumulative in the event of coupon deferral, and do not allow common stock dividends to be paid if their coupons are not paid. In the case of Lloyds, the market fears coupon deferral under pressure of the EU to make hybrid capital bear losses.

Our analysis says that, because of the cumulative feature we are likely to make a strong double digit return in any realistic scenario.

In terms of credit quality, we feel that both banks will need to continue to raise capital under tremendous pressure from regulators. Lloyds is expected to launch one of the biggest rights issues ever of up to \$25bn shortly and participate in the UK government's asset protection insurance scheme for toxic assets. With a 30% market share of the UK banking market and a UK government ownership of 43%, it is too strategic for the UK economy to be allowed to fail. It has been offered the option to put a third of its total loans (£260bn out of £700bn total loans) into an insurance scheme where the UK government will take 90% of losses after the first 10% loss. Once it cleans the commercial real estate loans of its disastrous HBOS acquisition it has as much as £13bn of earnings power pre-provisions from which to pay dividends to shareholders which forces interest payments on its bonds.

There is also an interesting option on the company offering an exchange offer on its debt as Citigroup did in order to generate further capital and avoid increased government ownership.

BAA bonds have been trading at distressed levels this year because of fears that the company was overleveraged and would not be able to refinance its debt. UK government statements that in the event of default they would appoint a special administrator with powers to control the land and physical property of the company further spooked the bondholders. We believe that these issues will be resolved via an obligation to operate its airports in the event of default and because the vast bulk of the bonds we own are senior and secured within a ring fence with maximum debt to regulated asset base of 70% we have a very secure asset.

The improvement in the credit markets to very tight levels for investment grade debt has increased the ability of the company to refinance itself economically.

4. Outlook

The overwhelming consensus view is that the recession has come to an end. However, this does not mean that any recovery in the US and Europe will be robust or sustainable. Without job creation or wage growth it is hard for this to be the case. If most companies are going to maintain margins with very aggressive job reductions and consumers remain leveraged and in fear of their jobs, where will the top line recovery come from except emerging markets? Hourly wages in the US remain stagnant and the U6 employment measure in the US is now 17%. The gap between the official unemployment rate of 10% and the U6 measure is a record high. Aggregate hours worked in Q3 actually declined 3% in the US. Eventually, taxes will rise, government spending will have to fall and life without stimulus will be tested. In the UK the conservative party has already announced that they cannot afford to pay people pensions at 65 and are going to raise the retirement age to 66 if they get into power as a small example of what this will mean.

Personal consumption is very unlikely to rise a lot in the US and Europe, given the need to deleverage and the temporary nature of the stimulus and rising unemployment. The debt fuelled consumption of the last decade is over. As for private investment, the massive excess capacity giving a record low capacity utilisation of 70% in the US suggests we have too much already.

Governments have been providing life support with debt fuelled deficit spending as the key growth driver in the US and Europe and China. However, the price of this is an ever weakening dollar which cannot correct the deindustrialisation of America which has occurred over the last 20 years. For now long term interest rates at 3% are supporting equity prices but these rates seem inconsistent with the giant budget deficits being run.

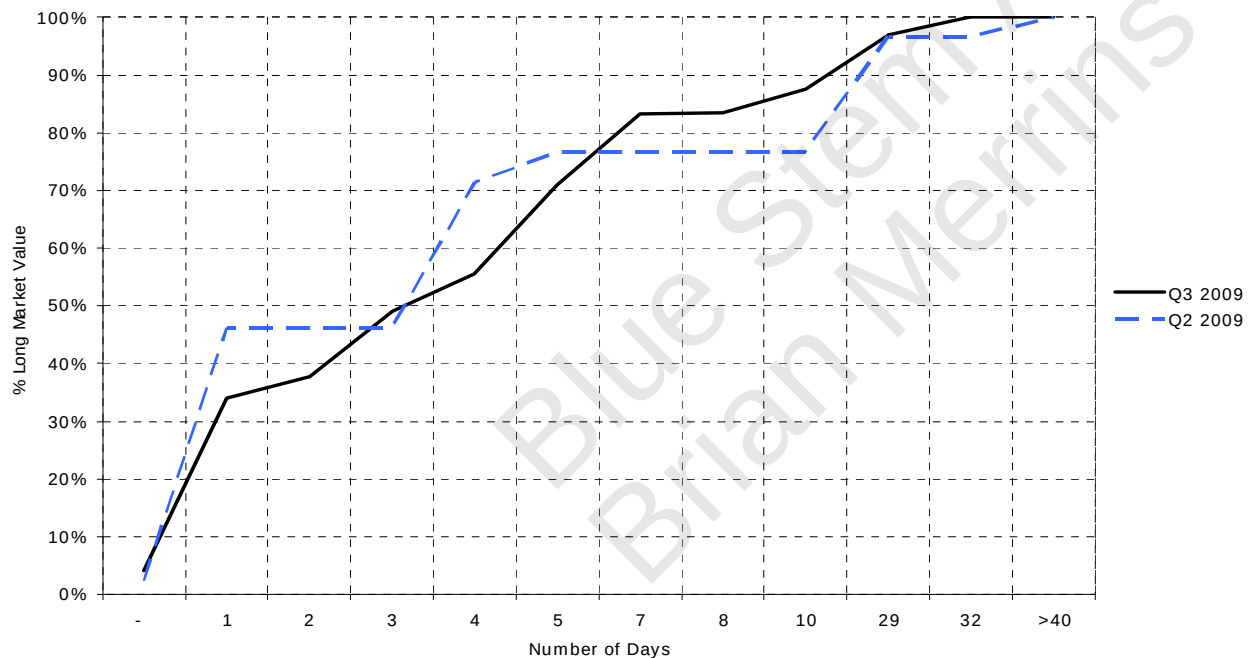
Will annual supply of \$1-2 trillion of annual net new treasury issuance find enough buyers at 3% interest rates when the currency demand from overseas central banks is waning as they diversify their reserves into non-dollar currencies? Without reforming entitlements and balancing budgets, eventually the monetisation of government debt will become so big that investors will need to care about the real nature of their returns (rather than just the nominal) and about their currency choices.

Essentially, the imbalances of the debt fuelled consumption and investment bubble have not been corrected and we remain cautious on economies in Europe and the US. For this reason, we have constructed a highly defensive portfolio with utilities, consumer staples with exposure to emerging markets and mission critical software and defence companies and some high yielding bonds. We will try to get and remain fully invested if we can find enough opportunities since the opportunity cost of being in cash at zero rates is too punitive, especially if inflation comes to bear.

We are working hard to improve the performance of the fund by getting it invested in ideas where we have sufficient conviction in the business quality and valuation.

5. Liquidity Analysis

The Children's Investment Master Fund - Liquidity Profile Q3 2009 End



Notes: Liquidity is based on the average three-month trading volume data from Bloomberg assuming 100% of trading. Analysis is based upon long equity positions only.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

6. Personnel

During the quarter, we have hired Martin Fraess-Ehrfeld as an analyst. Martin, an Austrian national, is an analyst with 9 years experience, the bulk of it on the real estate and private equity side at The Blackstone Group, in London and New York, where he had been covering a number of transactions across a variety of sectors. We have known Martin for several years and believe that he is a strong addition to the team.

We have decided not to continue with our Hong Kong office due to the difficulties of remote managing our sole analyst there and desire to centralise analysis in the London office.

Otherwise our core analyst team remains those that attended the Investor Day in New York.

7. Business Update

Optional Return of Capital

The 20% Optional Return of Capital offered to investors in July (effective redemption date 4 August 2009) has been successfully completed and was welcomed by the majority of investors, enabling them to re-balance their portfolios. Approximately 20% of the eligible capital return remained invested in the fund. I myself did not participate in the capital return.

Class D

The new class D, available to existing investors only who wish to roll on the expiry of their existing lock-ups or who elected to take class D terms under the optional capital return described above, have been well received. Such terms are more liquid and permit investors to maintain their exposure to the fund while carrying over their existing high-water marks.

8. Investor Relations

Q3 2009 Investor Conference Call

To ensure an effective coverage of all your questions, investors attending the Q3 2009 quarterly call are kindly asked to submit their questions in advance (by Friday 15th October COB) to the following email address:

✉ IRTeam@cliffordstreet.com

2010 Investor Conference

The 2010 Investor Conference for TCI and for TCI affiliates is expected to take place in New York on Monday 28 and Tuesday 29 June 2010. Please save the dates. Confirmation of the venue, alongside with formal invitations will follow in due course.

IR Team Update

As reported in the Q2 investor newsletter, Jolanda Niccolini, who has 15 years professional experience and has been at TCI for over two years, has taken over the role of Head of IR and Business Development.

Please find below a summary of the team members and their contact details.

Thomas Roberts joined TCI at the beginning of August, working with Jolanda and covering investor relations and business development services across the TCI platform. Tom was formerly a hedge fund research analyst at Carlton Capital Partners, a small financial group active in investment management and corporate finance services and, prior to that, a fixed income business management analyst at Citigroup Corporate & Investment Bank, where he spent just over five years.

Malcolm Leow, an ACCA qualified accountant with over four years experience, continues to work on the team, focusing on assisting investors on transaction related items and the day-to-day relationship with Citco, the fund administrator.

Shirley Jones, previously at SilverStreet Capital and Gartmore, where she worked in marketing and client services, has also joined the IR Team covering for Nicky Brzostowski's role while she is on maternity leave.

IR & Business Development

- | | | |
|---------------------|--|--------------------|
| – Jolanda Niccolini | ✉ jolanda@cliffordstreet.com | ☎ +44 20 7025 7610 |
| – Thomas Roberts | ✉ thomas@cliffordstreet.com | ☎ +44 20 7440 2395 |

IR

- | | | |
|---|--|--------------------|
| – Malcolm Leow | ✉ malcolm@cliffordstreet.com | ☎ +44 20 7025 7602 |
| – Shirley Jones | ✉ shirley@cliffordstreet.com | ☎ +44 20 7025 7611 |
| – Nicky Brzostowski
(on maternity leave) | | |

Citco Contact Detail

For any administrative enquiry at Citco Fund Services (Ireland) Limited, the fund administrator, in relation to TCI and/or its affiliated managers, please feel free to use the dedicated email address at Citco:

✉ cliffordstreet@citco.com

9. TCI Affiliated Investment Managers

a. Algebris

Algebris now manages \$1.5bn and is currently open to new investments as the team continue to see material opportunities in the financials space over the coming months, prompting them to also work on the launch of a long only financials fund to be called Algebris Super 20. As the name suggests, the Algebris Super 20 will invest in Algebris twenty best long ideas globally with the aim of outperforming the MSCI World Financials Index.

b. KDA

KDA Capital currently manages approximately \$330m and is open to new investments.

c. Parvus

Parvus currently manages \$2.8bn and is selectively open to new investments. For any information on Parvus, please contact Rahul Moodgal (rahul@parvusfunds.com).

Christopher Hohn

Managing Partner
October 2009

Appendix 1 – TCI Fund Performance Since Inception

Period	Assets (€m)	Class A (3yr) \$	Class A (3yr) €	Class B (5yr) \$	Class B (5yr) €	Class C (5yr) \$	Class C (5yr) €	MSCI World (\$)
Jan 2004	375	+1.36%	+1.44%	+1.41%	+1.49%			+1.54%
Feb 2004	532	+5.08%	+5.09%	+5.26%	+5.27%			+1.55%
Mar 2004	554	+2.75%	+2.93%	+2.78%	+2.97%			-0.89%
Q1 2004		+9.44%	+9.73%	+9.71%	+10.01%			+2.20%
Apr 2004	735	+3.70%	+3.88%	+3.77%	+3.92%			-2.22%
May 2004	872	+0.40%	+0.45%	+0.43%	+0.47%			+0.67%
Jun 2004	1,081	+2.82%	+2.86%	+2.90%	+2.93%			+1.91%
Q2 2004		+7.05%	+7.33%	+7.23%	+7.47%			+0.32%
Jul 2004	1,088	-0.24%	-0.20%	-0.24%	-0.20%			-3.34%
Aug 2004	1,114	+0.85%	+0.94%	+0.88%	+0.97%			+0.26%
Sep 2004	1,173	+4.86%	+4.90%	+5.00%	+5.05%			+1.77%
Q3 2004		+5.50%	+5.67%	+5.67%	+5.86%			-1.38%
Oct 2004	1,187	+2.35%	+2.34%	+2.41%	+2.41%			+2.37%
Nov 2004	1,435	+4.93%	+5.09%	+5.31%	+5.24%			+5.09%
Dec 2004	1,589	+6.94%	+6.86%	+7.13%	+7.05%			+3.73%
Q4 2004		+14.85%	+14.93%	+15.54%	+15.37%			+11.59%
2004		+41.95%	+43.04%	+43.65%	+44.39%			+12.84%
Jan 2005	1,960	+6.45%	+6.51%	+6.68%	+6.75%			-2.31%
Feb 2005	2,265	+3.80%	+3.83%	+3.90%	+3.99%			+3.01%
Mar 2005	2,275	-1.07%	-1.04%	-1.07%	-1.09%			-2.17%
Q1 2005		+9.32%	+9.44%	+9.65%	+9.80%			-1.55%
Apr 2005	2,502	-0.02%	-0.05%	-0.02%	-0.05%			-2.39%
May 2005	2,856	+3.46%	+3.46%	+3.59%	+3.59%			+1.52%
Jun 2005	3,271	+6.15%	+6.15%	+6.35%	+6.34%			+0.71%
Q2 2005		+9.80%	+9.77%	+10.14%	+10.10%			-0.21%
Jul 2005	3,624	+4.47%	+4.41%	+4.61%	+4.54%			+3.43%
Aug 2005	3,754	+2.03%	+1.88%	+2.08%	+1.94%			+0.56%
Sep 2005	4,055	+7.11%	+7.03%	+7.31%	+7.23%			+2.47%
Q3 2005		+14.17%	+13.86%	+14.59%	+14.27%			+6.57%
Oct 2005	4,050	-3.68%	-3.80%	-3.77%	-3.90%			-2.49%
Nov 2005	4,605	+5.06%	+5.06%	+5.20%	+5.19%			+3.14%
Dec 2005	5,421	+7.92%	+7.72%	+8.12%	+7.91%			+2.14%
Q4 2005		+9.21%	+8.86%	+9.45%	+9.08%			+2.73%
2005		+49.66%	+48.90%	+51.48%	+50.68%			+7.56%
Jan 2006	5,782	+6.38%	+6.10%	+6.61%	+6.32%			+4.41%
Feb 2006	6,012	+3.97%	+4.15%	+4.12%	+4.05%			-0.29%
Mar 2006	6,809	+3.72%	+3.27%	+3.84%	+3.63%	+3.65%	+3.44%	+1.96%
Q1 2006		+14.71%	+14.11%	+15.26%	+14.64%	+3.65%	+3.44%	+6.14%
Apr 2006	7,183	+5.91%	+5.64%	+6.10%	+5.82%	+5.80%	+5.54%	+2.87%
May 2006	6,225	-9.18%	-9.11%	-9.64%	-9.39%	-9.56%	-9.57%	-3.72%
Jun 2006	6,767	+3.38%	+3.27%	+3.71%	+3.39%	+3.96%	+3.93%	-0.18%
Q2 2006		-0.56%	-0.84%	-0.57%	-0.87%	-0.53%	-0.81%	-1.13%
Jul 2006	7,495	+3.75%	+3.61%	+3.87%	+3.72%	+3.68%	+3.54%	+0.55%
Aug 2006	7,828	+3.71%	+3.50%	+3.83%	+3.60%	+3.37%	+3.43%	+2.38%
Sep 2006	7,843	+0.03%	-0.12%	+0.03%	-0.12%	+0.00%	-0.12%	+1.07%
Q3 2006		+7.63%	+7.11%	+7.88%	+7.32%	+7.17%	+6.96%	+4.05%
Oct 2006	8,307	+4.01%	+3.88%	+4.13%	+3.99%	+3.72%	+3.29%	+3.61%
Nov 2006	8,615	+3.04%	+2.93%	+3.13%	+3.01%	+2.99%	+2.88%	+2.27%
Dec 2006	8,945	+5.63%	+5.53%	+5.78%	+5.69%	+5.54%	+5.44%	+1.95%
Q4 2006		+13.21%	+12.84%	+13.60%	+13.22%	+12.74%	+12.05%	+8.02%
2006		+38.99%	+36.76%	+40.45%	+38.08%	+24.57%	+22.97%	+17.95%
Jan 2007	9,460	+2.05%	+1.99%	+2.12%	+2.05%	+2.05%	+1.99%	+1.12%
Feb 2007	9,474	-1.25%	-1.27%	-1.29%	-1.31%	-1.25%	-1.27%	-0.65%
Mar 2007	10,145	+6.78%	+6.63%	+7.02%	+6.86%	+6.78%	+6.63%	+1.59%
Q1 2007		+7.61%	+7.37%	+7.88%	+7.62%	+7.61%	+7.37%	+2.06%
Apr 2007	10,762	+4.99%	+4.81%	+5.17%	+4.98%	+4.99%	+4.81%	+4.21%
May 2007	11,151	+4.38%	+4.30%	+4.52%	+4.46%	+4.38%	+4.30%	+2.47%
Jun 2007	10,971	-2.34%	-2.43%	-2.41%	-2.51%	-2.34%	-2.43%	-0.90%
Q2 2007		+7.02%	+6.67%	+7.27%	+6.91%	+7.02%	+6.67%	+5.82%
Jul 2007	11,056	+0.98%	+0.86%	+1.02%	+0.89%	+0.98%	+0.86%	-2.28%
Aug 2007	10,123	-5.97%	-6.14%	-6.16%	-6.35%	-5.97%	-6.14%	-0.27%
Sep 2007	11,308	+9.24%	+8.85%	+9.56%	+9.16%	+9.24%	+8.85%	+4.61%
Q3 2007		+3.73%	+3.04%	+3.86%	+3.13%	+3.73%	+3.04%	+1.95%

Period	Assets (€m)	Class A (3yr) \$	Class A (3yr) €	Class B (5yr) \$	Class B (5yr) €	Class C (5yr) \$	Class C (5yr) €	MSCI World (\$)
Oct 2007	12,048	+8.13%	+8.03%	+8.37%	+8.31%	+8.13%	+8.03%	+2.99%
Nov 2007	12,263	+3.62%	+3.55%	+3.72%	+3.67%	+3.62%	+3.55%	-4.24%
Dec 2007	12,643	+2.79%	+2.76%	+2.86%	+2.86%	+2.79%	+2.76%	-1.37%
Q4 2007		+15.17%	+14.95%	+15.62%	+15.50%	+15.17%	+14.95%	-2.74%
2007		+37.59%	+35.66%	+38.97%	+37.04%	+37.59%	+35.66%	+7.09%
Jan 2008	11,239	-6.24%	-6.38%	-6.24%	-6.60%	-6.24%	-6.38%	-7.71%
Feb 2008	10,714	-2.70%	-2.56%	-2.70%	-2.65%	-2.70%	-2.56%	-0.74%
Mar 2008	10,187	-1.05%	-0.83%	-1.05%	-0.86%	-1.05%	-0.83%	-1.25%
Q1 2008		-9.73%	-9.54%	-9.73%	-9.86%	-9.73%	-9.54%	-9.53%
Apr 2008	12,073	+8.37%	+8.61%	+8.37%	+8.91%	+8.37%	+8.61%	+4.98%
May 008	12,709	+3.30%	+3.38%	+3.30%	+3.50%	+3.30%	+3.38%	+1.11%
Jun 2008	10,922	-12.96%	-12.68%	-12.96%	-13.12%	-12.96%	-12.68%	-8.10%
Q2 2008		-2.56%	-1.96%	-2.56%	-2.07%	-2.56%	-1.96%	-2.45%
Jul 2008	11,233	+1.81%	+2.02%	+1.81%	+2.09%	+1.81%	+2.02%	-2.53%
Aug 2008	11,639	-2.60%	-2.46%	-2.60%	-2.54%	-2.60%	-2.46%	-1.60%
Sep 2008	10,257	-14.88%	-15.08%	-14.88%	-15.61%	-14.88%	-15.08%	-12.08%
Q3 2008		-15.59%	-15.49%	-15.59%	-16.04%	-15.59%	-15.49%	-15.67%
Oct 2008	9,763	-13.39%	-14.41%	-13.39%	-14.91%	-13.39%	-14.41%	-19.04%
Nov 2008	8,685	-9.67%	-9.78%	-9.67%	-10.12%	-9.67%	-9.78%	-6.72%
Dec 2008	7,093	-2.06%	-2.16%	-2.06%	-2.24%	-2.06%	-2.16%	3.06%
Q4 2008		-23.38%	-24.45%	-23.38%	-25.24%	-23.38%	-24.45%	-22.18%
2008		-43.11%	-43.37%	-43.11%	-44.59%	-43.11%	-43.37%	-42.08%
Jan 2009	7,422	-4.51%	-4.80%	-4.51%	-4.97%	-4.51%	-4.80%	-8.85%
Feb 2009	7,371	0.53%	0.56%	0.53%	0.57%	0.53%	0.56%	-10.49%
Mar 2009	6,855	-1.40%	-1.68%	-1.40%	-1.73%	-1.40%	-1.68%	7.23%
Q1 2009		-5.35%	-5.88%	-5.35%	-6.08%	-5.35%	-5.88%	-12.50%
Apr 2009	6,101	-2.08%	-2.10%	-2.08%	-2.17%	-2.08%	-2.10%	10.90%
May 2009	5,710	0.26%	0.26%	0.26%	0.27%	0.26%	0.26%	8.62%
Jun 2009	5,668	0.39%	0.42%	0.39%	0.43%	0.39%	0.42%	-0.61%
Q2 2009		-1.44%	-1.43%	-1.44%	-1.48%	-1.44%	-1.43%	19.73%
Jul 2009	5,571	4.10%	4.09%	4.10%	4.23%	4.10%	4.09%	8.37%
Aug 2009	4,814	1.53%	1.51%	1.53%	1.56%	1.53%	1.51%	3.91%
Sep 2009	4,797	2.30%	2.25%	2.30%	2.33%	2.30%	2.25%	3.81%
Q3 2009		8.12%	8.03%	8.12%	8.32%	8.12%	8.03%	16.90%
2009 YTD		0.86%	0.22%	0.86%	0.22%	0.86%	0.22%	22.47%
Annualised		+15.86%	+15.08%	+16.75%	+15.47%	n/a	n/a	1.47%
Inception		+133.11%	+124.22%	+143.68%	+128.71%	n/a	n/a	8.75%

Notes: January 1, 2004 inception except Class C (March 1, 2006). Fund performance is net of fees and expenses, includes dividends reinvested and is that of the Cayman feeder fund. Annualised figures refer to those since January 1, 2004 inception. Source: Citco Fund Services (Ireland) Limited, Bloomberg LP, MSCI Barra, The Children's Investment Fund Management (UK) LLP